

2.7

CPR WITH TREND FOLLOWING



Strategy video

Before we move forward to the CPR trend following strategy, it is important to talk about the price momentum.

Price momentum in the stock market refers to the phenomenon where stocks have been performing well and continues the same trend. When the momentum hits a stock, it is either backed by strong fundamentals or a bulk buying or selling in the stock. As a trader, we have to find such areas from where the momentum is expected.



As you can see in the above example, the market was bullish on 27th April 2023. On the next day, it opened gap up and could not sustain on the downside. Looking closely at the chart, you can find the small demand zone from where the price pivoted. It is not possible for a newbie trader to look for details and that is why the pivot points are created. Pivot points are crucial levels where the probability of price reversal is high. Pivot points are denoted as P- Pivot point, R1, R2- Resistance, and S1, S2- Support.

